

23NWCV02630 23NWCV02630

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Case Number: 23NWCV02630 Hearing Date: July 30, 2026 Dept: SEL

ZHIDONG HAO, et al. vs SG INVESTMENT LLC, et al.

CASE NO.: 23NWCV02630

HEARING: July 30, 2026 @ 9:30 a.m.

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TENTATIVE ORDER

Defendants SG Investment LLC, USHI, LLC, Hongpeng Wang's Motion for Summary Judgment, or in the alternative, Summary Adjudication, as to the Second Amended Complaint is DENIED.

Defendants to give notice.

Background

This is a contractual fraud action. On August 17, 2023, Plaintiffs Zhidong Hao and Fang Wang ("Plaintiffs") filed this action against Defendants SG Investment LLC ("SGI"), USHI, LLC ("USHI"), Hongpeng Wang ("H. Wang"), (collectively, "Defendants") and Does 1 to 50. On November 17, 2023, Plaintiffs filed the First Amended Complaint.

On January 12, 2024, Defendants SGI and USHI filed a Cross-Complaint, alleging two causes of action for 1) Restitution under Civil Code section 1692, and 2) Unjust Enrichment.

On September 26, 2024, Plaintiffs filed the Second Amended Complaint (SAC). The SAC alleges the parties entered into an investment agreement ("Investment Agreement"), whereby Plaintiffs would invest in Defendant SG Investment LLC in exchange for shares. The SAC alleges Defendants breached the Investment Agreement, despite Plaintiffs' full performance. The parties thereafter entered into a settlement agreement ("Settlement Agreement"), by which Defendants would make payments to resolve the underlying Investment Agreement dispute. The SAC alleges Defendants thereafter breached the Settlement Agreement. The SAC alleges the following causes of action: 1) Rescission of Settlement Agreement, 2) Breach of Settlement Agreement, 3) Breach of Contract, 4) Conversion, and 5) Unjust Enrichment.

On May 15, 2026, Defendants (including H. Wang) filed a First Amended Cross-Complaint (FACC), alleging causes of action for 1) Restitution under Civil Code section 1692, 2) Unjust Enrichment, and 3) Breach of Settlement Agreement.

On December 9, 2025, the Court heard Plaintiffs' Motion for Summary Judgment, or in the alternative, Summary Adjudication, on the SAC. The Motion sought 1) summary judgment on the second cause of action, or 2) in the alternative, summary adjudication on the first, third, fourth, and fifth causes of action. The Court granted the Motion for Summary Judgment as to the second cause of action. (See 12/9/25 Minute Order.)

Defendants now move for summary judgment, or in alternative, summary adjudication of the SAC.

Legal Standard

The function of a motion for summary judgment or adjudication is to allow a determination as to whether an opposing party cannot show evidentiary support for a pleading or claim and to enable an order of summary dismissal without the need for trial. (Aguilar v. Atlantic Richfield Co. (2001) 25 Cal.4th 826, 843.) Code of Civil Procedure section 437c, subdivision (c) "requires the trial judge to grant summary judgment if all the evidence submitted, and 'all inferences reasonably deducible from the evidence' and uncontradicted by other inferences or evidence, show that there is no triable issue as to any material fact and that the moving party is entitled to judgment as a matter of law." (Adler v. Manor Healthcare Corp. (1992) 7 Cal.App.4th 1110, 1119, internal citations omitted.) "The function of the pleadings in a motion for summary judgment is to delimit the scope of the issues; the function of the affidavits or declarations is to disclose whether there is any triable issue of fact within the issues delimited by the pleadings." (Juge v. County of Sacramento (1993) 12 Cal.App.4th 59, 67, citing FPI Development, Inc. v. Nakashima (1991) 231 Cal.App.3d 367, 381-382.)

In moving for summary judgment, a defendant has met its "burden of showing that a cause of action has no merit if the party has shown that one or more elements of the cause of action, even if not separately pleaded, cannot be established, or that there is a complete defense to the cause of action." (Code Civ. Proc., § 437c, subd. (p)(2).)

Once a moving party has satisfied the initial burden of proof, the burden "shifts to the opposing party to show, by responsive separate statement and admissible evidence, that triable issues of fact exist." (Ostayan v. Serrano Reconveyance Co. (2000) 77 Cal.App.4th 1411, 1418, disapproved on other grounds by Black Sky Cap., LLC v. Cobb (2019) 7 Cal.5th 156, 165.) To establish a triable issue of material fact, the party opposing the motion must produce substantial responsive evidence. (Sangster v. Paetkau (1998) 68 Cal.App.4th 151, 166.)

Discussion

Defendants argue that, in the Court's December 9, 2025 ruling, the Court found that 1) the Settlement Agreement had not been rescinded, and 2) the Settlement Agreement was valid and enforceable. Defendants essentially argue that, under the Settlement Agreement, Defendants H. Wang and USIH are "Released Parties" (as defined by Section 3) covered by the Covenant Not to Sue provision of Section 4. (H. Wang Decl., ¶ 3, Exh. A.) Defendants further assert that the Covenant Not to Sue provision of Section 4 bars all causes of action alleged against SGI in the SAC, except for the Breach of Settlement Agreement cause of action.

Based on these facts, Defendants seek summary adjudication of the following issues:

- Issue No. 1: All causes of action asserted against defendants USIH and H. Wang, specifically, the First Cause of Action (Rescission of Settlement Agreement), the Second Cause of Action (Breach of Settlement Agreement), the Third Cause of Action (Breach of Contract), the Fourth Cause of Action (Conversion), and Fifth Cause of Action (Unjust Enrichment), are barred in their entirety by the Covenant Not to Sue contained in Section 4 of the Settlement Agreement entered into by the parties.

- Issue No. 2: All causes of action asserted against SGI—except for the Second Cause of Action (Breach of Settlement Agreement)—are barred by the Covenant Not to Sue contained in Section 4 of the Settlement Agreement, which limits Plaintiffs' right to sue SGI solely to enforcement of the payment schedule set forth in Article 1 of the Settlement Agreement.

(Notice, 2:11-10.)

Plaintiffs submit an opposition to Defendants' "motion for summary judgment or, in the alternative, summary adjudication on the First Amended Cross Complaint." (Opp., 1: 27-28.)

In reply, Defendants argue that the instant Motion is as to Plaintiffs' SAC, not Defendants' FACC. Because Plaintiffs' opposition does not address the issues in the Motion, the Motion should be granted.

Initially, the Court clarifies that the instant Motion is Defendants' Motion for Summary Judgment, or in the alternative, Summary Adjudication on issues in the SAC. Plaintiffs' opposition addresses a motion for summary judgment as to the FACC (filed on May 15, 2026)—such motion does not exist.

The Court finds that Defendants' Motion is procedurally improper. The Court has granted Plaintiffs' Motion for Summary Judgment as to the second cause of action in the SAC, implying that the motion for summary adjudication as to the remaining causes of action were moot. (See 12/9/26 Minute Order.) When a court grants a motion for summary judgment, it is a determination that Plaintiff is entitled to judgment as a matter of law on all claims. (See *Hypertouch, Inc. v. ValueClick, Inc.* (2011) 192 Cal.App.4th 805, 834 ["A summary judgment may be granted only where it is shown that the entire 'action' 'has no merit.'"], citing Code Civ. Proc., § 437c.)

Through this Motion, Defendants improperly attempt to bring up arguments regarding the SAC that should have been determined concurrently with Plaintiff's Motion for Summary Judgment/Adjudication. Defendants did not file a cross-motion for summary judgment/adjudication. Defendants did not make these arguments in its opposition to Plaintiff's Motion. Neither did Defendants file a timely motion for reconsideration regarding any new facts or circumstances. The Court's December 9, 2025 ruling on Plaintiffs' Motion for Summary Judgment is operative. To the extent that Defendants would like to modify that order, such relief may be sought through other proceedings.

The Court notes that similar arguments were raised in Defendants' Objection to Plaintiff's [Proposed] Judgment following the December 9, 2025 ruling. Plaintiff filed a Reply to Defendants' Objection. At the Trial Setting Conference on February 17, 2026, the Court ordered the parties to meet and confer regarding the Proposed Judgment and the Cross-Complaint. (2/17/26 Minute Order.) Nevertheless, Defendants filed this Motion on April 10, 2026.

Accordingly, Defendants' Motion for Summary Judgment, or in the alternative, Summary Adjudication, as to the Second Amended Complaint is denied.

The parties are ordered to meet and confer regarding the Proposed Judgment following the Court's December 9, 2025 ruling.